Paper Code - 09

Time : 3 Hours **Maximum Marks : 100**

Note: Question number1 and 6 are compulsory. Attempt any 3 questions each from Part-A and Part-B. In case of any doubt, the English version shall be taken as authentic. Where ever, assessement year is not given, it may be taken as AY 2021-22. In case of any other doubt, make suitable assumptions and highlight the same in your answer.

Part A

Q. No.1 Mr. A, a retail trader gives the following Trading and Profit and Loss Account for the year ended 31st March, 2021:

Trading and Profit and Loss Account for the year ended 31.03.2021

Particulars	Rs.	Particulars	Rs.
To Opening Stock	90000	By Sales	1,12,11,500
To Purchases	1,10,04,000	By Closing Stock	1,86,100
To Gross Profit	3,03,600		
	1,13,97,600		1,13,97,600
To Salary	60,000	By Gross profit b/d	3,03,600
To Rent and Rates	36,000	By Income from UTI	2,400
To Interest on loan	15,000		
To Depreciation	1,05,000		
To Printing &Stationery	23,200		
To Postage & Telegram	1,640		
To Loss on sale of shares (short term)	8,100		
To other general expenses	7,060		
To Net Profit	50,000		
	3,06,000		3,06,000

Additional Information:

It was found that some stocks were omitted to be included in both the Opening and Closing Stock, the value of which are:

Opening Stock	Rs.9,000
Closing Stock	Rs.18,000

(i) Salary included Rs. 10,000 paid to his brother, which is unreasonable to the extent of Rs. 2,000.

(ii) The whole amount of printing and stationery was paid in cash by way of onetime payment to Mr. Ramesh.

(iii) The depreciation provided in the Profit and Loss Account Rs. 1,05,000 was based on the following information:

The written down value of plant and machinery is Rs. 4,20,000 as on 01.04.2020. A new plant falling under the same block of depreciation was bought on 01.07.2020 for Rs.70,000. Two old plants were sold on 01.10.2020 for Rs. 50,000.

(iv) Rent and rates includes GST liability of Rs 3,400 paid on 7.4.2021.

(v) Other general expenses include Rs.2,000 paid as donation to a Public Charitable Trust.

You are required to compute the profits and gains of Mr. A under presumptive taxation under section 44AD and profits and gains as per normal provisions of the Act assuming he has not opted for the provisions of section 115BAC. Assume that the whole of the amount of turnover received by account payee cheque or use of electronic clearing system through bank account during the previous year.

(Marks 20)

Q. No.2 Compute the total income of **Ms. Z for AY 2022-23** from the following information furnished:

Salary Income (computed)	Rs 4,70,000/-
Loss from self-occupied House Property	Rs 2,00,000/-
Loss from let out house property	Rs 60,000/-
Loss from Speculation Business-A	Rs 80,000/-
Profit from Speculation Business-B	Rs. 40,000/-
Income from trading and manufacturing business@8%	Rs 3,50,000/-
Interest on PPF deposit	Rs 95,000/-
Long Term Capital Gain on sale of vacant site (computed)	Rs 2,10,000/-
Short Term Capital Loss on sale of jewellery	Rs 1,50,000/-
Brought Forward loss of business of assessment year 2015-16	Rs 5,50,000/-
Donation to charitable trust recognized under section 12AA and approved under section 80G paid by cheque	Rs 1,10,000/-
Enhanced compensation received from Government for compulsory acquisition of land (held for a period of 5 years) in the year 2006	Rs 3,00,000/-

(Marks 10)

Q. No.3(a) You are wor'king in the office of CIT(Audit) and the IAP has raised an objection in the case of 'X' for AY 2018-19. The AO in response submitted a reply stating that the objection was not acceptable and requested the CIT(Audit) to drop the objection. On verification, it was seen that the case was selected under the category of limited scrutiny of CASS to examine the sole issue of claim of depreciation. The audit has nevertheless raised an objection relating verification of cash deposits. Prepare a draft order sheet note considering the reply of AO to drop the objection.

(Marks 5)

Q. No.3(b) The Assessing Officer passed an order of assessments u/s.143(3) in the case of a firm M/s Y for AY 2019-20 disallowing Provision of Warranty and raised a demand of Rs. 50 lakhs. The assessee appealed

the order before the CIT(A). The AO in the meantime issued a letter to assessee requesting payment of 20% of the demand. The assessee submitted that on a similar issue in AY 2017-18, the Tribunal had granted partial relief. Therefore, the assessee requested the AO to stay the entire demand as against making payment of 20% of the demand. You are required to make a draft order sheet note to consider the request of the assessee.

(Marks 5)

Q. No.4 Mr. Y, employed as Production Manager in a software company furnishes you the following information for the year ended 31.03.2021:

(i) Basic salary from 1.4.2020 to 31.10.2020 Rs.50,000 p.m.
Basic salary from 01.11.2020 to 31.03.2021 Rs.60,000 p.m.
Note: Salary is due and paid on the last day of every month.

(ii) Dearness allowance @40% of basic salary.

(iii) Bonus equal to one month salary. Paid in October 2020 on basic salary plus dearness allowance applicable for that month.

(iv) Contribution of employer to recognized provident fund account of the employee @16% of basic salary.

(v) Professional tax paid Rs.2500 of which Rs. 2000 was paid by the employer.

(vi) Facility of laptop and computer was provided to Mr. Y for both official and personal use. Cost of laptop Rs.45,000 and computer Rs.35,000 were acquired by the company on 01.12.2020.

(vii) Motor car owned by the employer (cubic capacity of engine exceeds 1.60 litres) provided to the employee from 01.11.2020 meant for both official and personal use. Repair and running expenses of Rs. 45,000 from 01.11.2020 to 31.03.2021, were fully met by the employer. The motor car was self-driven by the employee.

(viii) Leave travel concession given to employee, his wife and three children (one daughter aged 7 and twin sons aged 3). Cost of air tickets (economy class) reimbursed by the employer Rs. 30000 for adults and Rs. 45000 for three children.
Mr. Y is eligible for availing exemption this year to the extent it is permissible in law.

Compute the salary income chargeable to tax in the hands of Mr. Y for the assessment year 2021-22 assuming he has not opted for the provisions of section 115BAC.

(Marks 10)

Q. No.5(a) Mr. Z purchases a house property for Rs.76,000/- on June 30, 1987. The following expenses are incurred by him for making addition/ alteration to the house property:

a)	Cost of construction of first floor in 1995-96	1,10,000
b)	Cost of construction of the second floor in 2003-04	3,40,000
c)	Alteration/ reconstruction of the property in 2012-13	2,90,000

Fair market value of the property on April 1, 2001 is Rs. 8,00,000. The house property is sold by Mr. Z on June 15, 2020 for Rs.99,50,000 (expenses incurred on transfer: Rs. 10,000).

[CII for 2001-02 is 100] [CII for 2003-04 is 109]
[CII for 2020-21 is 301 [CII for 2012-13 is 200]

Compute the capital gain chargeable to tax for Assessment Year 2021-22.

(Marks 5)

Q. No.5(b) On 1st January, 2019 Gemini Transport Company purchased a bus for Rs.8,00,000. On 1st July, 2020, this bus was damaged due to fire and was completely destroyed and an amount of Rs.6,00,000 was received by a cheque from the insurance company in full settlement on 1st October, 2020. On 1st July, 2020, another Bus was purchased by the company for Rs.10,00,000.

The company charges Depreciation @ 20% per annum under the WDV Method. Calculate the amount of depreciation for the year ended 31st March 2021 and gain or loss on the destroyed bus.

(Marks 5)

Part B

Q.No.6

ShreeLtd.hasauthorizedcapitalofRs.50lakhsdividedinto5,00,000equitysharesofRs.10each.Theirbooksshowthefollowingbalancesas on31stMarch,2021:

Particulars	Rs.	Particulars	Rs.
Inventory1.4.2020	6,65,000	BankbalanceinCurrentAccount	20,000
Discounts&Rebatesallowed	30,000	Cashinhand	8,000
CarriageInwards	57,500	Interest(bankoverdraft)	1,11,000
Patterns	3,75,000	CallsinArrear@Rs.2pershare	10,000
Rate,TaxesandInsurance	55,000	Equitysharecapital(2,00,000sharesofRs. 10each)	20,00,000
Furniture&Fixtures	1,50,000		
Purchases	12,32,500	BankOverdraft	12,67,000
Wages	13,68,000		
FreeholdLand	16,25,000	TradePayables(forgoods)	2,40,500
Plant&Machinery	7,50,000	Sales	36,17,000
EngineeringTools	1,50,000	Rent(Cr.)	30,000
TradeReceivables	4,00,500	Transferfeesreceived	6,500
Advertisement	15,000	Profit&LossA/c(Cr.)	67,000
Commission&Brokerage(Dr.)	67,500	RepairstoBuilding	56,500
BusinessExpenses	56,000	Baddebts	25,500

You are required to prepare Statement ofProfit & Lossfor the year ended 31stMarch, 2021andBalanceSheetasonthatdateinlinewithScheduleIIItotheCompaniesAct,2013afterconsideringthefollowing:

Theinventory(valuedatcostormarketvalue,whichislower)ason31stMarch,2021wasRs.7,08,000,Outstandingliabilitiesforwages was Rs.25,000andbusinessexpenses was Rs.36,000.

Solutions ITO Paper IV

Ans 1:

Computation of business income of Mr. A for the A.Y. 2021-22

	Particulars	Rs.	Rs.
	Net Profit as per Profit and Loss account		50000
Add:	Inadmissible expenses/losses		
	Under valuation of closing stock	18,000	
	Salary paid to brother- unreasonable [Section 40A(2)]	2,000	
	Printing and stationery paid in cash would be disallowed, since such amount exceeds Rs. 10000 [Section 40A(3)]	23,200	
	Depreciation (considered separately)	1,05,000	
	Short term loss on shares	8,100	
	Donation to public charitable trust	2,000	1,58,300
			2,08,300
Less:	Items to be deducted:		
	Under valuation of opening stock	9,000	
	Income from UTI [Chargeable under the head 'Income from other sources']	2,400	11,400
	Business income before depreciation		1,96,900
Less:	Depreciation (See Note 1)		66,000
			1,30,900

Computation of business income as per section 44AD:

As per section 44AD, where the amount of turnover is received, inter alia, by way of account payee cheque or use of electronic clearing system through bank account or through such other prescribed electronic modes, the presumptive business income would be 6% of turnover, i.e. Rs.1,12,11,500*6/100= Rs. 6,72,690.

Notes:

1. **Calculation of depreciation**

Particulars	Rs.
WDV of the block of plant & machinery as on 1.4.2020	4,20,000
Add: Cost of new plant & machinery	70,000
	4,90,000
Less: Sale proceeds of assets sold	50,000
WDV of the block of plant & machinery as on 31.03.2021	4,40,000
Depreciation @15%	66,000
No additional depreciation is allowable as the assessee is not engaged in manufacture or production of any article.	

2. Since GST liability has been paid before the due date of filing return of income under section 139(1), the same is deduction.

Ans 2:

Income under the head Salaries	**Rs 4,70,000/-**
Income From House Property	**Loss of Rs 2,60,000/-**
Loss from self-occupied House Property	Rs 2,00,000/-
Loss from let out house property	Rs 60,000/-
Income from Business and Profession	**Rs Nil**
Profit from Speculation Business B	Rs 40,000/-
Loss from Speculation Business A	Rs 80,000/-
Loss from speculation Business to be carried forward	Rs 40,000/-
Profit from trading and manufacturing business	Rs 3,50,000/-
Brought Forward Business loss from AY 15-16	Rs 3,50,000/-
Taxable profit from trading and manufacturing business	Rs Nil
Income From Capital Gains	**Rs 1,60,000/-**
Enhanced compensation received from Government (taxable on receipt basis)	Rs 3,00,000/-
Long Term Capital Gain on sale of vacant site	Rs 2,10,000/-
Short Term Capital Loss on sale of jewelry to be set off against Long Term Capital Gain as per section 70(2)	Rs 1,50,000/-
Set off of loss from House Property amounting to Rs 2,00,000/- as per section 71(3A)	Rs 2,00,000/-
Income From Other Sources	**Rs Nil**
Interest Income from PPF	Rs 95,000/-
Exempt Income under section 10(11)	Rs 95,000/-
Gross Total Income	**Rs 6,30,000/-**
Deduction under chapter VIA	**Rs 23,500/-**
Donation to recognized and approved charitable trust*	**Rs 23,500/-**
Total Income	**Rs 6,06,500/-**

***Computation of donation allowable as per section 80G (4)**

Gross Adjusted Income is computed as follows:

Gross Total Income Less Income from Capital Gainsi.e., Rs 6,30,000/- less Rs 1,60,000/- **which is Rs 4,70,000/-.**

Since donation amount of Rs 1,10,000/- is greater than 10% of Gross Adjusted Income, therefore, the amount of donation qualifying for deduction u/s 80G is Rs 4,70,000/-.

Qualifying amount for donation: 10% of Rs 4,70,000/- i.e., Rs 47,000/-

Deduction allowed u/s 80G is allowable @50% as per section 80G(ii)

Deduction allowable u/s 80G which is 50% of Rs 47,000/- i.e., Rs 23,500/-

Ans. 3(a)

Date

Sir

Please see the reply of the AO to the audit objection in the case of 'X' for AY 2018-19. The AO has not accepted the objection on the ground that the case was selected under limited scrutiny on the sole issue of examining the claim of depreciation and therefore, the issue of verifying any other issue including the issue of cash deposits did not arise. Board vide Instruction No.06/2017 has specifically pointed out that in the case of limited scrutiny, the scope of audit should confine to the issues for which limited scrutiny was made. Considering the above facts and circumstances, the reply of the AO may be accepted and the audit objection may be dropped.

Put up for kind approval

Ans. 3(b)

Date:

Madam,

Please see the application for grant of stay u/s 226 in the case of Ms.Y for AY 2019-20. The addition is on account of disallowance of provision for warranty and the outstanding demand is Rs 50 lakhs. The assessee is in appeal before the CIT(A) and the same is pending for adjudication. On the same issue in AY 2017-18, the Tribunal had granted partial relief to the asseseee (copy of the Tribunal order is placed on record). Accordingly, the assessee has requested to stay the demand instead of paying 20% of the demand. As per the Board's modified instruction no 1914 dt 29.2.2016, in a case where addition on the same issue has been deleted by appellate authorities in earlier years, the matter may be referred to PCIT to decide the quantum of demand to be paid by the assessee and grant the stay on the balance demand. The instruction is applicable in the case of the assessee and the application may therefore be referred to PCIT for further action.

Put up for kind perusal and approval.

Ans. 4:

Computation of Taxable Salary of Mr. Y for A.Y. 2021-22

Particulars	Rs
Basic Salary [(Rs. 50000*7)+(Rs.60,000*5)]	6,50,000
Dearness Allowance (40% of basic salary)	2,60,000
Bonus (Rs. 50,000 + 40% of Rs. 50,000) (**See Note 1**)	70,000
Employers contribution to recognized provident fund in excess of 12% of salary = 4% of Rs.6,50,000 (**See Note 2**)	26,000
Professional tax paid by employer	2,000
Perquisite of Motor Car (Rs. 2,400 for 5 months) (**See Note 4**)	12,000
Gross Salary	**10,20,000**
Less: Deduction under section 16	
Standard deduction u/s 16(ia) Rs.50,000	52,500
Professional tax u/s 16(iii) (See Note 6) Rs.2,500	**9,67,500**
Taxable Salary	

Notes:

1. Since bonus was paid in the month of October, the basic salary of Rs. 50,000 for the month of October is considered for its calculation.
2. It is assumed that dearness allowance does not form part of salary for computing retirement benefits.
3. As per Rule 3(7)(vii), facility of use of laptop and computer is a tax free perquisite, whether used for official or personal purpose or both.
4. As per the provisions of Rule 3(2), in case a motor car (engine cubic capacity exceeding 1.60 litres) owned by the employer is provided to the employee without chauffeur for personal as well as office use, the value of perquisite shall be Rs.2,400 per month. The car was provided to the employee from 01.11.2020, therefore the perquisite value has been calculated for 5 months.
5. Mr. Y can avail exemption under section 10(5) on the entire amount of 75,000 reimbursed by the employer towards Leave Travel Concession since the same was availed for himself, his wife and three children and the journey was undertaken by economy class airfare. The restriction imposed for two children is not applicable in case of multiple births which take place after the first child.
   It is assumed that the Leave Travel Concession was availed for journey within India.
6. As per section 17(2)(iv), a "perquisite" includes any sum paid by the employer in respect of any obligation which, but for such payment, would have been payable by the assessee. Therefore, professional tax of 2,000 paid by the employer is taxable as a perquisite in the hands of Mr. Y. As per section 16(iii), a deduction from the salary is provided on account of tax on employment i.e. professional tax paid during the year.
   Therefore, in the present case, the professional tax paid by the employer on behalf of the employee 2,000 is first included in the salary and deduction of the entire professional tax of 2,500 is provided from salary.

Ans 5(a):

Computation of Long-term capital gain of Mr. Z

Particulars	Rs.	Rs.
Sale consideration		99,50,000
Less:		
Expenses on transfer	10,000	
Indexed cost of acquisition **(Note 1)**	24,08,000	
Indexed cost of improvement **(Note 2)**	13,75,439	37,93,439
Long-term capital gain		61,56,561

Notes:

1. Indexed Cost of acquisition is computed as follows:
   Rs. 8,00,000 / 100 *301 = Rs. 24,08,000

2. Indexed cost of improvement is determined as under:

	Rs.
Construction of first floor in 1995-96 (expenses incurred prior to April 1, 2001 are not considered:	Nil
Construction of second floor (3,40,000 * 301/109)	9,38,899
Alteration/ reconstruction in 2012-13 (290,000*301/200)	4,36,540
Indexed Cost of improvement	**13,75,439**

Ans 5(b):

Calculation of Gain/Loss on Bus damaged by Fire

Particulars	₹
Original cost as on 1.1.2019	8,00,000
Less: Depreciation for 2018-19 (3 months)	(40,000)
WDV as on 31st March,2019	7,60,000
Less: Depreciation for 2019-20	(1,52,000)
WDV as on 31st March,2020	6,08,000
Less: Depreciation for 2020-21 (3 months)	(30,400)
WDV as on 1st July,2020	5,77,600
Less: Amount received from Insurance company	(6,00,000)
Gain on Bus damaged by Fire	22,400

Calculation of depreciation for the year ended 31st March,2021

	Machine I damaged on 1st July,2020 (8,00,000) ₹	Machine II Purchased on 1st July,2020 (10,00,000) ₹
Book value as on 1st April,2020	6,08,000	
Purchased on 1st July,2020		10,00,000
Depreciation @20% Machines	30,400 (for 3 months)	1,50,000 (for 9 months)

Total depreciation ₹ 1,80,400

Compute the capital gain chargeable to tax for Assessment Year 2021-22.

(Marks 5)

Q. No.5(b) On 1st January, 2019 Gemini Transport Company purchased a bus for Rs.8,00,000. On 1st July, 2020, this bus was damaged due to fire and was completely destroyed and an amount of Rs.6,00,000 was received by a cheque from the insurance company in full settlement on 1st October, 2020. On 1st July, 2020, another Bus was purchased by the company for Rs.10,00,000.

The company charges Depreciation @ 20% per annum under the WDV Method. Calculate the amount of depreciation for the year ended 31st March 2021 and gain or loss on the destroyed bus.

(Marks 5)

Part B

Q.No.6

ShreeLtd.hasauthorizedcapitalofRs.50lakhsdividedinto5,00,000equitysharesofRs.10each.Theirbooksshowthefollowingbalancesas on31stMarch,2021:

Particulars	Rs.	Particulars	Rs.
Inventory1.4.2020	6,65,000	BankbalanceinCurrentAccount	20,000
Discounts&Rebatesallowed	30,000	Cashinhand	8,000
CarriageInwards	57,500	Interest(bankoverdraft)	1,11,000
Patterns	3,75,000	CallsinArrear@Rs.2pershare	10,000
Rate,TaxesandInsurance	55,000	Equitysharecapital(2,00,000sharesofRs. 10each)	20,00,000
Furniture&Fixtures	1,50,000		
Purchases	12,32,500	BankOverdraft	12,67,000
Wages	13,68,000		
FreeholdLand	16,25,000	TradePayables(forgoods)	2,40,500
Plant&Machinery	7,50,000	Sales	36,17,000
EngineeringTools	1,50,000	Rent(Cr.)	30,000
TradeReceivables	4,00,500	Transferfeesreceived	6,500
Advertisement	15,000	Profit&LossA/c(Cr.)	67,000
Commission&Brokerage(Dr.)	67,500	RepairstoBuilding	56,500
BusinessExpenses	56,000	Baddebts	25,500

You are required to prepare Statement ofProfit & Lossfor the year ended 31stMarch, 2021andBalanceSheetasonthatdateinlinewithScheduleIIItotheCompaniesAct,2013afterconsideringthefollowing:

Theinventory(valuedatcostormarketvalue,whichislower)ason31stMarch,2021wasRs.7,08,000,Outstandingliabilitiesforwages was Rs.25,000andbusinessexpenses was Rs.36,000.

Charge depreciation on closingwritten downvalueofPlant& Machinery @ 5%,EngineeringTools@ 20%; Patterns @ 10%; and Furniture & Fixtures @10%.

Provide 25,000 as doubtful debts afterwritingoff Rs.16,000asadditionalbaddebts.

Provideforincometax@30%.

(Marks 20)

Q.No.7 Ms. Ritu Verma decided to start business of fashion garments under the name of M/s. Designer Wear on 1st April 2020. She had a saving of about ₹ 10,00,000. She invested ₹3,00,000 out of her savings and borrowed equal amount from bank. She purchased a commercial space for ₹5,00,000 and further spent ₹ 1,00,000 on its renovation.

Loan and interest repaid by her are as follows:

30th June 2020: ₹ 15000 principal + ₹ 9000 interest
30th September 2020: ₹ 15000 principal + ₹ 8550 interest
30th December 2020: ₹ 15000 principal + ₹ 8100 interest
31st March 2021: ₹ 15000 principal + ₹ 7650 interest

In view of further requirement for capital, she transferred ₹ 2,00,000 from her saving bank account to the bank account of the business. She paid security deposit of ₹ 7,000 for telephone connection and bought furniture worth ₹ 10,000. All the payments were made by cheque and all receipts in cash were deposited in the bank.

At the end of the year, her business showed the following results:

Particulars	Amount (in ₹)	Particulars	Amount (in ₹)
Total Sales	20,00,000	Total Purchases	17,00,000
Electricity Expenses Paid	40,000	Telephone charges	50,000
Charge Outwards	60,000	Travelling Expenses	45,000
Entertainment Expenses	5,000	Maintenance Expenses	25,000
		Electricity expenses	-----
Misc. Expenses	15,000	payable	20,000

Other Information:

(i) She withdrew ₹ 5,000 by cheque each month for her personal expenses.
(ii) Depreciation on building is charged at 5% per annum and on furniture at 10% per annum
(iii) Closing stock in hand as on 31st March 2021 is ₹ 5,50,000

Prepare a trading account, profit and loss account for the year ended 31st March 2021 and balance sheet as on that date as per the companies act.

(Marks 10)

Q. No.8 Prepare bank reconciliation statement of Mr. Damodaran on 30th June 2021 with following particulars:

(i) Passbook showed an overdraft of ₹ 15,000 on 30th June 2021.

(ii) A cheque of ₹ 200 was deposited in bank but not recorded in Cash Book.
(iii) Cheques of ₹ 17,000 were issued but cheques worth only ₹ 10,000 were presented for payment up to 30th June 2021.
(iv) Cheques of ₹ 2,000 were received and recorded in Cash Book but not sent to bank.
(v) Cheques of ₹ 10,000 were sent to bank for collection; out of these cheques of ₹ 2,000 and of ₹ 1,000 were credited respectively on 8th July and 10th July and the remaining cheques were credited before 30th June 2021.
(vi) Bank paid ₹ 300 fee of Chamber of Commerce on behalf of Mr. Damodaran, which was not recorded in Cash Book.
(vii) Bank charged interest on overdraft ₹ 800 which was not recorded in Cash Book.
(viii) ₹ 40 for bank charges were recorded two times in Cash Book and bank expenses of ₹ 35 were not at all recorded in Cash Book.
(ix) Total of credit side of bank column of Cash Book was undercast by ₹ 1,000 by mistake.

Marks 10

Q. No.9 From the following Receipts and Payments Account and the additional information pertaining to Janakpuri Football Club, prepare Income and Expenditure Account for the year ended 31st March, 2012 and Balance Sheet as at that date:

Receipts	**Amount (in ₹)**	**Payments**	**Amount (in ₹)**
Cash in hand on 1.4.2011	10,200	Purchase of balls	65,000
Cash at bank on 1.4.2011 as per pass book	30,000	Tournament fees	10,000
Subscriptions	2,45,000	Affiliation fees for 5 years	2,000
Interest on Investment	1,800	Rent of playground	6,000
Sale of tickets for variety programme	20,000	Expense on variety programme	15,000
Sale on furniture on 30-09-2011	9,000	Refreshment Expenses	4,000
Donations for club building	50,000	Travelling Expenses	20,000
Legacy	11,000	Furniture bought on 01-10-2011	5,000
		Periodicals	5,000
		Advance paid to contractor for pavilion building	50,000
		Salary	15,000
		Telephone Expenses	1,500
		Miscellaneous Expenses	8,000
		12% Investments (Face value, ₹ 1,70,000) bought on 31-12-2011	1,50,000
		Cash in hand on 31-03-2012	8,500
		Cash at Bank on 31-03-2012 as per pass book	12,000
	3,77,000		**3,77,000**

Additional Information:

(i) Subscriptions received include Rs 9,000 outstanding subscriptions for the year 2010-2011. Subscriptions for the year 2011-2012 amounting to Rs 16,000 are still outstanding. Some members have paid subscriptions for the year 2012-2013 amounting to Rs 8,000 which is included in the subscriptions received.

(ii) Face value of 12% Investments on 31st March 2011 was Rs 15,000 (cost price, Rs 12,000).

(iii) Book value of furniture sold on 1 April 2011 was Rs 12,000, depreciation being 20% p.a. Provide depreciation on new furniture at the same rate.

(iv) Telephone bill for one quarter is outstanding, the amount outstanding being Rs 300. The charge for each quarter is the same both for 2010-2011 and 2011-2012.

(v) Unpresented cheques for periodicals being Rs 4,000 for 2010-2011 and Rs 12 000 for 2011-2012.

(vi) Stock of balls with the club on 31st March 2012 amounted to Rs 6,000.

(Marks 10)

Q. No. 10ABC is a partnership firm with partners Mr. A, Mr. B and Mr. C sharing profits and losses in the ratio 10:6:4. The balance sheet of the firm as at 31st March 2020 is as under:

Liabilities	In Rs.	In Rs.	Assets	In Rs.
Capital:			Land	10,000/-
Mr. A Mr. B Mr. C	80,000/- 20,000/- 30,000/-	1,30,000/-	Buildings	2,00,000/-
Reserves (un-appropriated profit)		20,000/-	Plant and Machinery	1,30,000/-
Long Term Debt		3,00,000/-	Furniture	43,000/-
Bank Overdraft		44,000/-	Investments	12,000/-
Trade Payables		1,70,000/-	Inventories	1,30,000/-
			Trade Receivables	1,39,000/-
		6,64,000/-		6,64,000/-

It was mutually agreed that Mr. B will retire from firm and in his place Mr. D will be admitted as a partner with effect from 1st April 2020. For this purpose, the following adjustments are to be made:

(a) Goodwill is to be valued at Rs 1 lakh but the same will not appear as an asset in the books of the reconstituted firm.

(b) Buildings and Plant and machinery are to be depreciated by 5% and 20% respectively. Investments are to be taken over by the retiring partner at Rs 15,000/-. Provision of 20% is to be made on Trade receivables to cover doubtful debts.

(c) In the reconstituted firm, the total capital will be Rs 2 lakhs which will be contributed by Mr. A, Mr. C and Mr. D in their new profit-sharing ratio which is 2:2:1.

- The surplus funds, if any, will be used for repaying bank overdraft
- The amount due to retiring partner shall be transferred to his loan account

You are required to prepare:

- Revaluation account
- Partners' capital accounts and
- Bank account

(Marks 10)

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